

The Vanguard and Morningstar studies are really just the tip of the iceberg. The studies are naturally somewhat limited in what they can examine quantitatively. There are many other ways financial advisors may add value that are harder to quantify, such as ensuring you make the right beneficiary designations within an estate plan, are properly insured, and are not missing important strategies to save on taxes. One significant mistake in any of these areas could unravel years of good planning.

In this regard, advisors serve as a type of insurance policy. They provide support to avoid normal life mistakes that come with a lack of experience. Life consists of many economic milestones like retirement, as well as spurious “opportunities” like buying into a time-share, and various potential mistakes driven by behavioral considerations. Working with someone who has seen these situations hundreds of times can be helpful to steer you in the right direction and avoid costly mistakes.

With retirement, it is important to consider how declining cognitive skills associated with aging will make it increasingly difficult to self-manage your investment and withdrawal decisions. For households where one person handles money matters, surviving household members will be especially vulnerable to making mistakes when they outlive the family financial manager. Developing a strong relationship with a trusted financial planner can help with both of these matters.

In terms of cognitive decline, a research article by Michael Finke, John Howe, and Sandra Huston titled “Old Age and the Decline in Financial Literacy” outlined the situation well. They provided a financial literacy test to older populations and found that financial literacy tends to decline by about 1 percent per year after age sixty, but financial confidence remains the same. Other research from David Laibson at Harvard University has also revealed reduced numeracy with age. It becomes harder to perform basic arithmetic calculations and understand the nature of risk, not to mention questions such as which number is smaller: 1/100 or 1/1000?

Can a financial advisor be cost-effective? Ultimately, that depends on your answers to a series of important questions: